MercadoLibre (MELI)

LatAm Ecosystem Leader

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*LatAm Ecosystem Leader. Marketplace, Mercado Pago, logistics, credit, and ads form one flywheel: 89.3M active buyers, $101B TPV, $16.4B credit portfolio [Q2 PR]. Ecosystemic users using both sides grow 37% and are the most profitable cohort [Q2 call]. Growth at Scale. Q2 2026: revenue $10.17B (+50%), GMV $21.9B (+44%), TPV $101B (+56%), credit +75% YoY [Q2 PR]. All three core markets, Brazil, Mexico, Argentina, grew double digits FXN. This is a growth company at $93B, not a story stock. Margin Compression Is a Choice. Op margin of 6.7%, down 550 bps, is deliberate reinvestment, not share loss [Q2 PR]. At $1,834 [Mkt 16-Oct-26] the market prices a 12% CAGR while our DCF base $2,795 needs ~22% and implies 52% upside. PEG of 1.01 agrees the market is underpricing it. Our framework screens it as a **Buy** with a $2,952.39 blended target, 61% above the current price.*

BUY	$2,952.39	+61%	$1,834.00
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

LatAm Ecosystem Leader. Marketplace, Mercado Pago, logistics, credit, and ads form one flywheel: 89.3M active buyers, $101B TPV, $16.4B credit portfolio [Q2 PR]. Ecosystemic users using both sides grow 37% and are the most profitable cohort [Q2 call].

Executive summary

Growth at Scale. Q2 2026: revenue $10.17B (+50%), GMV $21.9B (+44%), TPV $101B (+56%), credit +75% YoY [Q2 PR]. All three core markets, Brazil, Mexico, Argentina, grew double digits FXN. This is a growth company at $93B, not a story stock.

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$10.17B	$21.9B	$101.0B	$16.4B	6.7%	$9.19
REVENUE (Q2 2026)	GMV	TOTAL PAYMENT VOLUME	CREDIT PORTFOLIO	OPERATING MARGIN	EPS (Q2)

The moat is structural

GMV $21.9B (+44% YoY, +36% FXN) with 795.4M items sold (+45%) and 89.3M active buyers

Three scenarios make the valuation range explicit

The DCF values MercadoLibre across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$1,259.16**	-31%
Base	50%	**$2,748.21**	+50%
Bull	25%	**$5,053.99**	+176%

Bear ($1,259.16, -31%): Growth disappoints and multiples compress; the $1,259.16 target marks the downside case.

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Bull ($5,053.99, +176%): Execution compounds and the multiple rerates; the $5,053.99 target marks the upside case.

The probability-blended target implies +61% upside

Blended target: $2,952.39 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +61% upside from the $1,834.00 reference price.

$2,952.39

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (fwd) 32.4x [Mkt 16-Oct-26] DCF Base $2,795 [DCF model] PEG 1.01 [Mkt 16-Oct-26] PEG near 1.0 on 40%+ revenue growth; DCF implies 52% upside.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $2,952.39 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

GMV $21.9B (+44% YoY, +36% FXN) with 795.4M items sold (+45%) and 89.3M active buyers [Q2 PR]

Mercado Pago TPV $101B (+56% YoY); credit portfolio $16.4B (+75% YoY) with improving delinquency [Q2 PR]

Advertising +62% FXN, topping 10% of LatAm digital ad market for the first time [Q2 call]

Brazil, Mexico, Argentina all growing double digits FXN; ecosystemic users 37% growth [Q2 PR]

What to monitor

Nov 4, 2026. Q3 2026 Earnings (Two-Sided): EPS est $9.34. The swing factor is operating margin vs the reinvestment pace, not revenue.

Q3-Q4 2026. Margin Inflection (Positive): Op margin at 6.7%, down 550 bps YoY. Stabilization would re-rate the earnings trajectory.

Ongoing. Credit Quality (Two-Sided): Portfolio at $16.4B, +75% YoY. Delinquency improved to 7.0%; any deterioration would hit the fintech thesis.

$10.17B	$21.9B	$101.0B	$16.4B
REVENUE (Q2 2026)	GMV	TOTAL PAYMENT VOLUME	CREDIT PORTFOLIO

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$28.9B	$12.9B	$2.0B
2024	$20.8B	$9.6B	$1.9B
2023	$15.1B	$7.6B	$987M
2022	$10.8B	$5.2B	$482M

Key risks

Deliberate Margin Compression. Op margin fell 550 bps YoY to 6.7% as management lowered take rates, raised marketing, and expanded logistics. The team says reinvestment will not slow, so near-term earnings stay compressed. [Q2 PR]

Credit Risk. Credit portfolio up 75% YoY to $16.4B with higher provisions. Delinquency improved to 7.0% but a LatAm downturn could spike bad debts quickly given the growth pace. [Q2 PR]

LatAm Macro and FX. Revenue, margins, and credit quality are all exposed to ARS/BRL/MXN swings. Argentina posted 38% FXN GMV growth but consumption there remains fragile. [Q2 PR]

Competition. Amazon and Shopee compete across the region. MercadoLibre leads on logistics and fintech integration, but price competition in commerce pressures take rates. [Q2 call]

Investment view

Q3 earnings on Nov 4: the swing factor is margin trajectory vs the investment pace, not revenue. If op margins stabilize while GMV/TPV hold 30%+ FXN growth, the base case ($2,795) comes into play; credit deterioration or a LatAm FX shock would test the bear ($1,278).

Buy. The $2,952.39 blended target implies +61% upside, balancing the $1,259.16 / $2,748.21 / $5,053.99 Bear / Base / Bull targets.

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Upcoming catalysts

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